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Stride and the Emerging Career Readiness Field

Part 1

Stride is a learning company that offers K-12 and Career Development tools. At the K-12 levels, Stride offers online full/part- time public and private schooling, tutoring, and the learning hub. The learning hub is a free platform that includes over 20,000 lessons, a custom trained ai for homework help without providing explicit answers. Their Workforce products include Tallo, a website that highlights career openings, scholarship prospects, and college requirements/ applications. They also advertise a coding bootcamp, Tech Elevator, and MedCerts, which is an online certification and credential program for medical and IT professionals. Their markets service individual consumer families who want to supplement student education, K-12 districts, and companies who wish to internally train their workforce. Stride is a for profit business that is publicly traded. Initially named K-12 Inc, Stride IPO'd in December of 2007. Since then, Stride remains up to date on their financial reports: 10-k, 8-k, and quarterly earnings.

An analysis of the aforementioned documents finds that Stride is making considerable revenue, remains profitable, and continues to expand growth[1]. Referring to Figure A, one can see that this year Stride made $2,518.1 million in revenue as compared to the $2,405.317 million generated in the prior year. In Figure B, the net income for the business also grew from $287,941 thousand to $338,192 thousand. Notable in this statement is the amount invested in capitalized software development, which increased about 69% in cost as an expenditure. This indicates that Stride is interested in; therefore, spending more on advancing its technological infrastructure. Readers can also see a decrease in how much Stride is investing in its curriculum content development, down from $21,801 thousand to $16,668 thousand in 2026. A metric that looks alarming is that the total cash amount is down by 28 million. However, a crucial factor to consider is that Stride deployed $188.7 million throughout the fiscal year and bought 1,042,154 shares *(Figure C)* of its common stock in this quarter alone, which demonstrates to stakeholders they have enough excess capital to reinvest back into its equity and implies that Stride is confident in its financial stability. This purchase can account for why a significant amount of the

[1] All numerical references and/ or quantitative references of data seen in figures A, B, and C

total cash decreased, which eases concerns. They have also invested heavily in acquisitions/ investments, going from $20.7 million to $55.5 million, more than doubling their outlay. Another explanation for this change is how Stride committed a net of $179.828 million in investments. Therefore, the loss of cash was not because of liability, but for spending of the company, which can raise attention, but not immediate warning. These reports give a comprehensive view on the strategy of Stride, which is to focus on technological development and implementation, and expand their reach and place less emphasis on the content of their platform. This is also reaffirmed in Strides 10-k form, where they announce, “We use AI technologies in our platform and offerings, and we are making investments in expanding the use of AI throughout our business.”

Fiscal 2026 Summary Financial Metrics

	Year Ended June 30,		Change 2026/2025	
	2026	2025	$	%
	(In thousands, except percentages and per share data)			
Revenues	$ 2,518,081	$ 2,405,317	$ 112,764	4.7%
Income from operations	450,767	360,094	90,673	25.2%
Adjusted operating income (1)	498,373	466,233	32,140	6.9%
Net income	338,192	287,941	50,251	17.5%
Net income per share, diluted	7.14	5.95	1.19	20.0%
Adjusted earnings per share (1)	8.33	8.10	0.23	2.8%
EBITDA (1)	577,329	474,763	102,566	21.6%
Adjusted EBITDA (1)	617,584	571,035	46,549	8.2%

Figure A- 2026 Fiscal Metrics-

STRIDE, INC.

CONSOLIDATED STATEMENTS OF CASH FLOWS

	Year Ended June 30,	
	2026	2025
	(In thousands)	
Cash flows from operating activities		
Net income	$ 338,192	$ 287,941
Adjustments to reconcile net income to net cash provided by operating activities:		
Depreciation and amortization expense	126,562	114,669
Stock-based compensation expense	40,255	36,794
Deferred income taxes	39,993	(17,783)
Provision for credit losses	16,463	15,267
Amortization of fees on debt	1,673	1,647
Noncash operating lease expense	5,063	12,265
Impairment of long-lived assets	—	59,478
Other	20,514	(596)
Changes in assets and liabilities:		
Accounts receivable	(121,370)	(102,188)
Inventories, prepaid expenses, deposits and other current and long-term assets	6,538	(6,239)
Accounts payable	2,164	310
Accrued liabilities	(10,188)	40,915
Accrued compensation and benefits	(11,828)	9,913
Operating lease liability	(16,943)	(12,396)
Deferred revenue and other liabilities	(3,274)	(7,181)
Net cash provided by operating activities	433,814	432,816
Cash flows from investing activities		
Purchase of property and equipment	(587)	(1,781)
Capitalized software development costs	(61,591)	(36,428)
Capitalized curriculum development costs	(16,668)	(21,801)
Other acquisitions, loans and investments, net of distributions	(55,538)	(20,682)
Proceeds from the maturity of marketable securities	279,497	252,930
Purchases of marketable securities	(324,941)	(260,233)
Net cash used in investing activities	(179,828)	(87,995)
Cash flows from financing activities		
Repayments on finance lease obligations	(56,856)	(41,469)
Purchase of treasury stock	(188,659)	-
Repurchase of restricted stock for income tax withholding	(36,467)	(21,469)
Net cash used in financing activities	(281,982)	(62,938)
Net change in cash, cash equivalents and restricted cash	(27,996)	281,883
Cash, cash equivalents and restricted cash, beginning of period	782,497	500,614
Cash, cash equivalents and restricted cash, end of period	$ 754,501	$ 782,497

Figure B- Cash Flow Statements- Earnings Report

Issuer Purchases of Equity Securities

Shares of our common stock that we repurchased during the three months ended June 30, 2026 were as follows:

Period	Total Number of Shares Purchased	Average Price Paid per Common Share	Total Number of Shares Purchased as Part of Publicly Announced Plans or Programs [1]	Approximate Dollar Value of Shares that May Yet be Purchased Under the Plans or Programs[1]
April 1, 2026 – April 30, 2026	-	$ -	-	411,354,533
May 1, 2026 – May 31, 2026	331,205	$ 91.87	331,205	380,925,943
June 1, 2026 – June 30, 2026	710,949	$ 97.88	710,949	311,341,375
Quarter ended, June 30, 2026	1,042,154		1,042,154	

[1] On November 3, 2025, our Board of Directors authorized a stock repurchase program for the purchase of up to $500 million of the Company's common stock until October 31, 2026.

No other stock repurchase programs existed during the three months ended June 30, 2026. See Note 10, "Stock Repurchase Program" to the consolidated financial statements for further information on our stock repurchases.

ITEM 6. *RESERVED*

Figure C- Number of Shares Purchased - 10-K Form

Part 2

However, Stride's push for AI adoption and incorporation does not mean they are not at risk for AI disruption. Stride's largest problem will be **AI's Adaption Speed Threat.** With Stride investing heavily in AI, there remains the question of whether Stride will be able to keep up with market changes, specifically on the policy side of education. Governments are passing the legislature that places barriers around AI tools, especially when it interacts with sensitive student data. Protection for minors and ongoing changes to educational infrastructure may make it costly and difficult for Stride to advance their AI technologies. Different locales also have different procedures and rules surrounding AI, which can make differential a necessary but expensive option as Stride seeks to expand into new States, and leaves them vulnerable to competition. This sentiment is supported by the risk assessment statements from Stride:

> "For example, certain states have introduced and passed legislation mandating, among other requirements, transparency in AI algorithms and their decision-making processes to prevent discriminatory practices. Notably, the Illinois Student Online Personal Protection Act (SOPPA) sets specific guidelines for protecting student data used by educational technology companies. In addition, developing, testing and deploying AI in our platform, offerings and services involves significant technical complexity and requires specialized expertise. Any disruption or failure in our AI systems or infrastructure could result in delays or errors in our operations, which could harm our business and financial results. Further, market demand and acceptance of AI technologies are uncertain, and we may be unsuccessful in our efforts related to deploying AI in our business."

After considering the market reports presented in this review, a logical assertion can be made that the organization will continue to grow; however, its expansion into emerging technologies and states may require significant investment, and this will be reflected in future cash balances. Considering that in the previous fiscal year, revenue increased from 2.405 billion to 2.518 billion, Stride is making meaningful progress in its profitability. They also have invested heavily back into their business to expand, as seen with their purchase of shares, along with increasing operating income from 360.1 million to 450.8 million, which indicates they are receiving a surplus of cashflow. Along with this figure, Stride increased their spending on technologies and AI by 69%, showing that while Stride is optimistic about their software capabilities, there may be less margin for failure if they are not able to maintain compliance with new mandates regarding technology in schools or for minors.

Based on the data provided by Stride, during the next five years the organization should continue to expand across North America but should make compliant student data technology a prerequisite to do so. By focusing their efforts on privacy infrastructure, Stride will have a greater ROI, since they will have to spend more money and time remaking their software/ AI to fit the legislation surrounding the EdTech market. Instead of slowing down their technology investments and potentially losing their position in the market to competitors who are willing to develop within the policy limits, Stride can effectively devote their time and resources now (while they are making strong cashflow) to establish precedence amongst competitors. They should also look to devote a more significant amount of their advancements to their Career Learning and Middle/ High School markets, as the Career Learning revenue is up around 15% and Middle/ High school revenue is up 19.1%, while General Education and Adult Learning is down 2.1% and 29.6 respectively. *See Figure D below:*

The following represents our current revenues for each of the periods indicated:

	Years Ended June 30,			Change 2026 / 2025		Change 2025 / 2024	
	2026	2025	2024	$	%	$	%
	(In thousands, except percentages)						
General Education	$ 1,417,785	$ 1,448,676	$ 1,289,193	$ (30,891)	(2.1%)	$ 159,483	12.4%
Career Learning							
Middle - High School	1,043,726	876,287	651,191	167,439	19.1%	225,096	34.6%
Adult	56,570	80,354	99,685	(23,784)	(29.6%)	(19,331)	(19.4%)
Total Career Learning	1,100,296	956,641	750,876	143,655	15.0%	205,765	27.4%
Total Revenues	$ 2,518,081	$ 2,405,317	$ 2,040,069	$ 112,764	4.7%	$ 365,248	17.9%

Products and Services

Figure D- Revenue of Markets Serviced- 10-K

Sources:

Stride, Inc. *Annual Report on Form 10-K for the Fiscal Year Ended June 30, 2026*. U.S. Securities and Exchange Commission, 5 Aug. 2026. SEC filing

Stride, Inc. *Current Report on Form 8-K*. U.S. Securities and Exchange Commission, 4 Aug. 2026. SEC filing

Stride, Inc. *Fiscal Year 2026 Fourth Quarter and Full-Year Earnings Report*. Stride, Inc., 4 Aug. 2026. Stride investor/earnings information